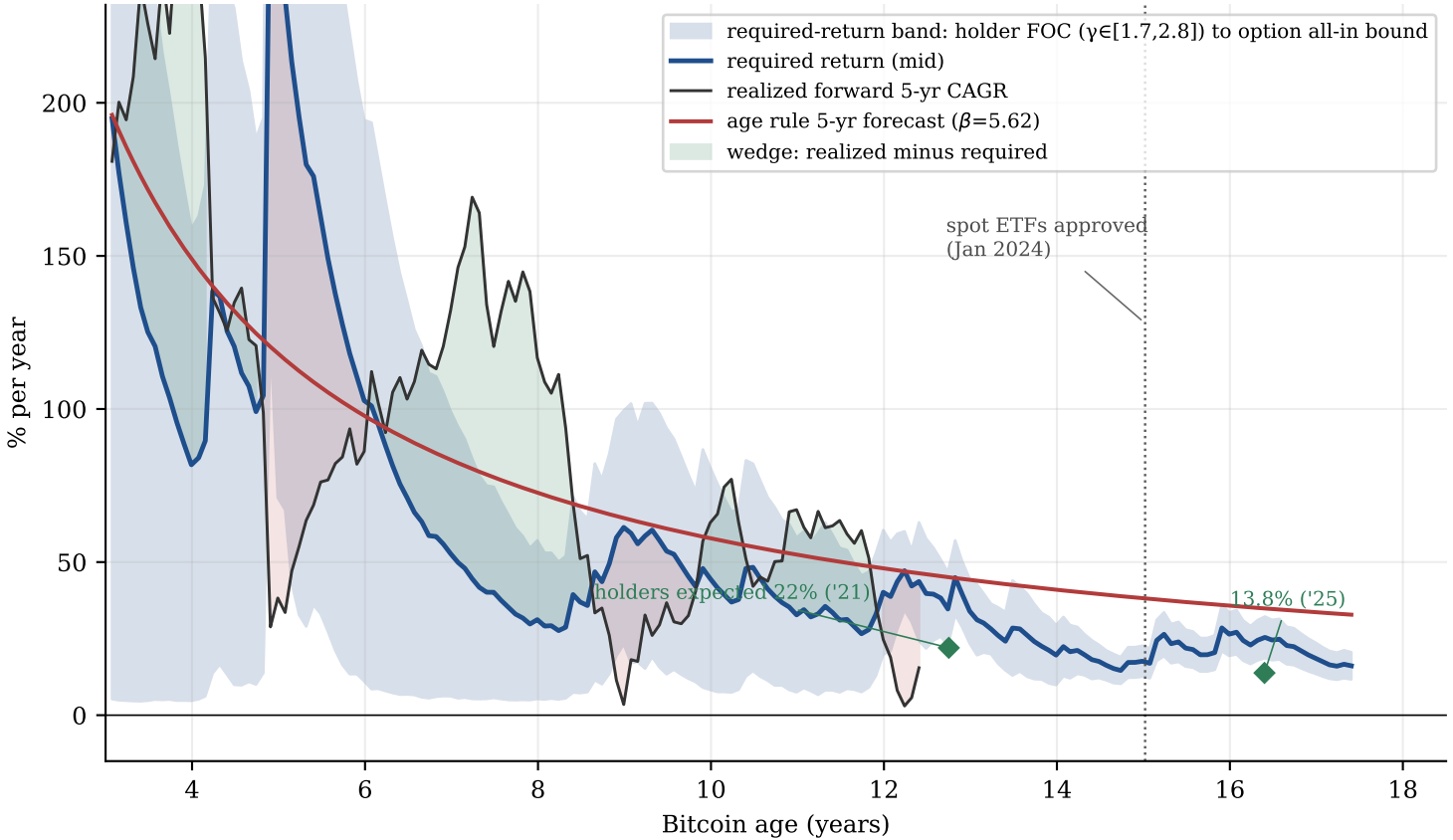
Required return vs realized drift vs the age rule
the age rule tracks the decaying wedge, not a risk premium
required-return band: holder FOC (γ∈[1.7,2.8]) to option all-in bound
required return (mid)
realized forward 5-yr CAGR
age rule 5-yr forecast (β=5.62)
wedge: realized minus required
spot ETFs approved
(Jan 2024)
holders expected 22% ('21)
13.8% ('25)
% per year
Bitcoin age (years)
0
50
100
150
200
4
6
8
10
12
14
16
18